



FINANCIAL ANALYST TEAM (150)

**STATE 2021
FINAL**

Original Prompt:

The Stock-Up Paper Co. was started as a small, private corporation in 2000 in the Scranton, Ohio area. Scott, the Founder and CEO, began by selling paper products to local businesses with just three employees. Over the past twenty years, the company was so successful at selling paper products that they began selling all office products; by 2020, the Stock-Up Paper Co. was a leading distributor of all office products in the Ohio region.

Stock-Up first differentiated itself from big box competitors by the high level of customer service they provide. Each customer was assigned to their own personal salesperson who took the time to get to know their customers and their needs. Stock-Up now employs six sales people; all salespersons are paid a base salary plus a commission of 5% of their sales. The salespeople are authorized to make small concessions to larger customers in an effort to provide top-level customer service. Dan, the Sales Manager, believes that these concessions are immaterial and do not significantly impact the profitability of the company; although they do significantly impact the satisfaction of the customers.

In 2010 Stock-Up introduced a website with a sales portal where customers can place their orders directly through the website without going through a salesperson. The website has been very popular, and Stock-Up saw an increase in sales; however most of the long-time customers still prefer to place their orders through their personal salesperson. Despite the fact that sales have been steadily increasing, profit margins keep shrinking and in 2020, Stock-Up posted its first loss.

Selected Financial Data Fiscal Year End 2020	
Sales	16,359,417
Cost of Goods Sold	13,669,686
Warehouse Expenses (including personnel)	869,855
Freight-Out	504,191
Sales Personnel Expenses	540,993
Other Operating Expenses	769,855
Interest Expense	46,191

Stock-Up's accountant, Lynn, further analyzed sales from the past year and discovered that almost half of all sales were from Internet orders, while the other half were placed through the salespeople. However, when Scott looked at the number of orders, almost 85% of all orders were placed through salespeople. Internet customers tended to place fewer, larger orders while those ordering through their personal salesperson tended to place smaller orders more frequently. Each order is manually packed once it is placed by the warehouse personnel. Rob, the Warehouse Manager, is concerned because the warehouse personnel are currently working at maximum capacity; and if sales continue to increase, they will need to hire more workers. The warehouse is already working overtime a couple of weekends a month just to keep up with the current demand. Stock-Up uses a commercial shipping company to ship all orders, and charges customers 2% of the total order for shipping.

Lynn also noticed that the majority of Internet customers paid for their orders at the time of sale, while the customers who placed their orders with their salesperson took advantage of Stock-Up's offer to be billed for their orders. The average level of Accounts Receivable for Internet orders was \$9,000 last year, but it was \$30,000 for those that placed their orders through the salespeople. In addition, Lynn noticed that the Internet customers tended to pay their bills within 30 days, while the other customers often took up to 90 days to pay. Stock-Up maintains a line of credit with their local bank that they use to help make ends meet if cash flows run short. Lately, Stock-Up has had to rely on this line of credit more. Considering that Stock-Up's line of credit charges 10% on the outstanding balance, Lynn thought this might be significant.

The Stock-Up Paper Co.'s CEO, Scott, has hired your firm to further analyze the company's business activities and make recommendations about how to reverse their recent profit slide. Your presentation should include, but is not limited to, Stock-Up's current financial position and your specific recommendations to improve profitability.

TWIST:

Stock-Up's leading salesperson, Dwight, has turned in his resignation. Dwight's client list includes three of Stock-Up's top five customers. Stock-Up management is unsure whether they should replace Dwight or not.